

horse race against Graham. But are we suffering from availability bias or story bias when we make this conjecture?⁹

What does the actual evidence have to say on the subject?

We can empirically verify whether a Buffett or Graham philosophy has been more effective over the past 37 years. To do so, we need to quantify Warren Buffett and Ben Graham's strategies in a systematic way. Joel Greenblatt, famous for his book, *The Little Book that Beats the Market*, tells a story about a systematic investment approach that encapsulates the Warren Buffett mantra of trying to “buy a wonderful business at a fair price.” Greenblatt's formula is straightforward: Rank all stocks on their earnings before interest and taxes relative to their total enterprise value (EBIT/TEV). EBIT/TEV serves as the “cheapness” indicator for a given security (labeled “Graham” in [Table 4.2](#)). Next, measure the “quality” of a firm by calculating the ratio of EBIT to capital (labeled “Quality” in [Table 4.2](#)), which satisfies Buffett's own criteria that the “more appropriate measure of managerial economic performance is return on equity capital.”¹⁰ To generate the Warren Buffett clone strategy, we simply average the EBIT/TEV and EBIT/CAPITAL ranks and then purchase the top-ranked stocks based on the combined “cheapness” and “quality” ranking (labeled “Buffett” in [Table 4.2](#)).

[Table 4.2](#) Performances of the Three Strategies

	Buffett	Graham	Quality	S&P 500 TR
CAGR	13.94%	15.95%	10.37%	10.46%
Standard Deviation	16.93%	17.28%	17.04%	15.84%
Downside Deviation	12.02%	11.88%	11.35%	11.16%
Sharpe Ratio	0.55	0.64	0.35	0.37
Sortino Ratio (MAR = 5%)	0.80	0.96	0.56	0.56
Worst Drawdown	−36.85%	−37.25%	−47.15%	−50.21%

The performance metrics in [Table 4.2](#) are calculated over the 1974 to 2011 timeframe and the universe consists only of investable firms (we eliminate small/micro caps). The far left column is the performance of Warren Buffett stocks as captured by Greenblatt's combined cheapness and quality